

make someone rich, you're better off thinking they never work.

Second, investing in something you don't understand will probably not work, either. There's no reason this is necessarily so. Anything priced in an efficient market should be properly priced, with about as many people who believe it is too cheap as believe it is too expensive. But markets are not necessarily efficient. And if there's any inefficiency in it at all, the ignorant investor will be the victim of it.

Do not invest in anything in which the fees and charges are significant—which is likely to be the case with things you don't understand. Derivative-based structured investment vehicles, for example, are things almost no one understands. And they are stuffed with fees—and fees on fees—because these are essentially confections of fee-saturated positions.

The further you get from the underlying investment, the more fees you pay. And the less desirable the investment becomes. Let's say, for example, that you have a woodworking shop. That is an asset. You can buy it or sell it. You can treat it as an investment.

But you can also “take it public.” Now the fees begin. You have to pay lawyers, accountants, venture capital firms—a long list of professionals just to get your shares ready to sell to people you don't know. Then, the stockbrokers get a commission. And there are ongoing fees to meet reporting requirements and keep up with other necessities of maintaining listed company.

And then, you can take the shares and sell an option against them—more fees. And then, you take the option and you put it in a derivatives contract—along with any number of other positions. And then, you take the derivative and you structure it into a product that serves a particular purpose—or at least has a nice story to tell—you put on more fees, and you sell it to a person with more money than brains.

Fees and related investment costs are a nuisance to the ordinary investor. Over time, they are fatal to family fortune.

Here are some other things *not* to do:

- Do not invest in anything you see advertised.
- Do not put your money into anything you see on TV, unless it is presented in a negative light.
- Do not invest in anything that everyone considers safe or conservative.